UNITED STATES BANKRUPTCY COURT

WESTERN DISTRICT OF VIRGINIA

HARRISONBURG DIVISION

In re: Karen M. Thomas, Debtor.	Chapter 13 Case No. 16-50612
Gary L. Brooks, Jr., and Mary M. Gillespie-Brooks, Debtors.	Chapter 13 Case No. 16-50396
Karen M. Thomas, Gary L. Brooks, Jr., and Mary M. Gillespie-Brooks, individually and on behalf of a class of similarly situated individuals, Plaintiffs, v. Midland Funding, LLC, and Midland Credit Management, Inc., Defendants.	Adv. Pro. Nos. 17-AP-05009 & 17-AP-05010

DEFENDANTS' MOTION TO DISMISS AND MEMORANDUM IN SUPPORT

1. "This case presents a mixed question of law and math." *DAGS II, LLC v. Huntington Nat'l Bank*, – F.3d –, No. 16-2332, 2017 WL 3184548, at *1 (6th Cir. July 27, 2017). Plaintiffs Karen Thomas, Gary Brooks, and Mary Gillespie-Brooks contend that Defendants violated the federal Fair Debt Collection Practices Act and Bankruptcy Rules by filing proofs of claim for their defaulted credit card debts that incorrectly indicated that the claims did not include interest or fees in addition to their principal amounts. On the other hand, Defendants Midland Funding, LLC, and Midland Credit Management, Inc., submit that, because they did not assess any interest charges after Midland Funding purchased and was assigned Plaintiffs' credit card accounts, each of the

proofs of claim at issue correctly characterizes the entire claim amount as "unsecured principal."

2. This Court need not resolve the parties' disagreement over mathematical issues or accounting principles, however, in order to conclude that Plaintiffs have failed to state any claim upon which relief may be granted, and that their putative Class Action Complaint should be dismissed with prejudice. Plaintiffs have not plausibly alleged either that Midland violated the FDCPA (Count 1), or that they even can assert a legally cognizable claim for alleged "violations" of the Bankruptcy Rules (Count 2). Regardless of whether Midland's original proofs of claim correctly or incorrectly characterized the entire claim amounts as principal, "the difference between principal and interest is no more important to the Fair Debt Collection Practices Act than the color of the paper that [Midland] used." *Hahn v. Triumph Partnerships LLC*, 557 F.3d 755, 757 (7th Cir. 2009). "A dollar due is a dollar due," *id.*, and Plaintiffs have not disputed the amount of any of Midland's claims; in fact, each of the claims was scheduled in a nearly-identical amount. And their purported claims for "violations" of the Bankruptcy Rules fail as a matter of law for the simple reason that there is no private right of action for noncompliance with Rule 3001. Therefore, both claims should be dismissed with prejudice.

ARGUMENT AND CITATIONS OF AUTHORITY

I. The Court should dismiss the FDCPA claim asserted in Count 1 because Plaintiffs do not plausibly allege that Midland's proofs of claim were false, deceptive, or misleading, or that Midland engaged in any unfair or unconscionable conduct.

3. Plaintiffs contend that Midland's proofs of claim run afoul of two provisions of the FDCPA. First, they allege that "the false assertion[s] that no interest or fees

were included in the amount of each Proof of Claim, and that Defendants had a reasonable belief in the accuracy of the information [in each Proof of Claim]," constitutes a violation of 15 U.S.C. § 1692e, which prohibits debt collectors from "using false, deceptive, and/or misleading representations" in attempting to collect a debt. (Doc. 1, ¶ 67). Second, Plaintiffs also assert a claim under 15 U.S.C. § 1692f, based on their allegation that Midland's "standard practice of filing Proofs of Claim without complying with Federal Rule of Bankruptcy Procedure 3001(c)(2)(A) and without having the ability to comply with Federal Rule of Bankruptcy Procedure 3001(c)(3)(B)" amounts to "unfair and unconscionable" means of debt collection. (*Id.*, ¶ 68). Neither claim sustains scrutiny under Rule 12(b)(6), however.

4. Plaintiffs fail to state a claim under § 1692e because they have not plausibly alleged that Midland's proofs of claim were materially false, deceptive, or misleading to their relevant recipients—here, a "party in interest" with the right to object to the proofs of claim under 11 U.S.C. § 502(b) and request their disallowance. And as for their claims under § 1692f, even assuming that Plaintiffs were correct that the itemization included with Midland's original proofs of claim did not comport with the requirements of Rule 3001(c)(2)(B) (a legal conclusion this Court need not accept as true), Plaintiffs fail to so much as allege how or why such a procedural misstep rises to the level of "unconscionable" or even "unfair" conduct.

A. Plaintiffs fail to state a claim under § 1692e because any alleged misrepresentation on the proof of claim form that the claims do not include interest or fees is neither false nor materially deceptive or misleading to the relevant parties in interest.

5. Although the FDCPA broadly prohibits debt collectors from using any "false, deceptive, or misleading" representation in attempting to collect a debt, its statutory ambit is constrained by the decisional gloss from the Fourth Circuit, which has joined other courts in interpreting § 1692e to include a materiality requirement. In other words, "false, deceptive, and misleading statements must be material to be actionable." *Powell v. Palisades Acquisition XVI, LLC*, 782 F.3d 119, 126 (4th Cir. 2014) (citations omitted). This "materiality requirement limits liability under the FDCPA to genuinely false or misleading statements that 'may frustrate a consumer's ability to intelligently choose his or her response.'" *Id.* (citation omitted).

6. Here, any allegedly false, deceptive, or misleading representation was necessarily immaterial because whether or not the proof of claim disclosed the inclusion of interest and other charges would not have been "important to the consumer in deciding how to respond to efforts to collect the debt." *Id.* (defining materiality for purposes of § 1692e). As countless courts have recognized, § 502(b) provides the exclusive bases for lodging an objection to a creditor's claim. In other words, even assuming that Midland's proofs of claim included a "false assertion that no interest or fees were included in the amount" of each claim (or that the Midland representative who signed each proof of claim falsely proclaimed to "reasonably believe" as much), as Plaintiffs have alleged, neither allegation is a basis for the disallowance of Midland's claims.

7. The supposedly false assertion that Midland's claims did not include interest or fees is not materially false, deceptive, or misleading because it would have no effect on the decisionmaking of any party in interest. Plaintiffs do not allege that Midland's proofs of claim revealed (or concealed) any basis for raising an objection, because none exists. To the contrary, the only conceivable consequence for Midland's supposedly false or misleading assertion that its claims did not include interest is that its proofs of claim might not have enjoyed prima facie validity normally afforded proofs of claim filed in accordance with Rule 3001. *See* Fed. R. Bankr. P. 3001(f). But while the omission of information required by Rule 3001 "may cause a creditor to forfeit the evidentiary presumption of validity of the claim under Rule 3001(f) and potentially suffer sanctions under Rule 3001(c)(2)(D), such failure is a far cry from being misleading or deceptive under the FDCPA or otherwise." *In re Ellswick*, No. 15-41196-JJR13, 2016 WL 6902463, at *5 (Bankr. N.D. Ala. Nov. 23, 2016).

8. Plaintiffs also fail to state a claim under § 1692e because, even putting aside the fact that the misrepresentations they've alleged are not the basis for objecting to Midland's claims, the assertion of whether or not Midland's proofs of claim includes interest, and if so, in what amount, is not materially deceptive or misleading to the relevant audience. The Fourth Circuit previously has analyzed whether an FDCPA-governed communication could be misleading from the perspective of the hypothetical "least sophisticated consumer," holding that "only misstatements that are important in the sense that they could objectively affect the least sophisticated consumer's decisionmaking are actionable." *Powell*, 782 F.3d at 126. Since the Fourth

Circuit's decision in *Powell*, however, the Supreme Court has indicated that a different standard applies, at least with respect to FDCPA claims based on bankruptcy proofs of claim.

9. In *Midland Funding, LLC v. Johnson*, 137 S. Ct. 1407 (2017), the debtor argued that Midland's conduct in filing a proof of claim for an out-of-statute debt was actionable under the FDCPA as a false, deceptive, or misleading means of attempting to collect a debt. According to *Johnson*, Midland's proof of claim implied that the debt was "enforceable," when in fact it was subject to a limitations defense. The Supreme Court held otherwise, noting that in order "to determine whether a statement is misleading normally 'requires consideration of the legal sophistication of its audience.'" *Johnson*, 137 S. Ct. at 1409 (citation omitted). "The audience in Chapter 13 bankruptcy cases includes a trustee, 11 U.S.C. § 1302(a), who must examine proofs of claim and, where appropriate, pose an objection . . . . And that trustee is likely to understand that, as the Code says, a proof of claim is a statement by the creditor that he or she has a right to payment subject to disallowance (including disallowance based upon, and following, the trustee's objection for untimeliness)." *Id.* (citing 11 U.S.C. §§ 101(5)(A), 502(b), 704(a)(5), 1302(b)(1)). Thus, as in *Johnson*, the materiality of Midland's allegedly false assertion that its claims did not include interest should be judged not from the perspective of the least sophisticated consumer, but from the perspective of its audience—here, the debtor's bankruptcy attorney, the bankruptcy trustee, and/or the bankruptcy court.

10. Applying the standard articulated in *Johnson*, Plaintiffs' FDCPA claims likewise fail as a matter of law because Midland's proof of claim objectively

was neither confusing nor misleading to its intended audience. As the Court noted in *Johnson*, the trustee has a duty to "examine proofs of claim and, where appropriate, pose an objection." *Johnson*, 137 S. Ct. at 1409 (emphasis added). More specifically, the Code charges the trustee with objecting to proofs of claim only "if a purpose would be served." 11 U.S.C. § 704(a)(5) (emphasis added). And even then, a trustee is relieved of any duty to interpose an objection if "there will be no distributions to creditors" or the claim otherwise would have "no effect." 9 *Collier on Bankruptcy* ¶ 4002.05[2], at 4002-11 (Alan N. Resnick & Henry J. Sommer eds., 16th ed. 2016). Here, the trustee apparently chose not to file an objection to any of Midland's claims on the grounds that Plaintiffs have asserted here (or on any other grounds, for that matter), because no purpose would be served, since both debtors' confirmed Chapter 13 plans do not propose to pay 100% of claims filed by their unsecured creditors.[1] Instead, the debtors are simply required to pay the same amount to the trustee every month; thus, regardless of how many unsecured claims are filed (or allowed) and regardless of their amount, the debtors are unaffected, and so no "purpose would be served" by filing an objection, since Midland's claims essentially would have "no effect" on the debtors' bankruptcy estates.

11. While it's clear that any alleged misrepresentation regarding the interest component of Midland's claim would not have been material to its intended audience, the trustee, Plaintiffs' § 1692e claims also fail even under the ordinary least sophisticated consumer standard that the Fourth Circuit has

[1] The Brookses and Ms. Thomas expect that their unsecured creditors will receive pro rata distributions of 9% and 33% of their claims, respectively. *See* Case No. 16-50396, Doc. 2, at 3 (Brooks); Case No. 16-50612, Doc. 2, at 3 (Thomas).

applied in the past. For example, the Court in *Powell* explained that, "[i]n assessing materiality, we are not concerned with mere technical falsehoods that mislead no one," citing as an example "a demand letter [that] misstates interest as principal but accurately states the total amount owed." *Powell*, 782 F.3d at 126 (quotation omitted). "[S]uch a technical error is not material," because it would not "objectively affect the least sophisticated consumer's decisionmaking." *Id.* (citation omitted). That is precisely the situation we have here. Just as a dunning letter is an assertion of a right to payment from the recipient, a proof of claim likewise is an assertion of a right to payment from the debtor's bankruptcy estate. *See Johnson*, 137 S. Ct. 1407, slip op. at 5 ("[A] proof of claim is a statement by the creditor that he or she has a right to payment subject to disallowance . . . ."). Even accepting Plaintiffs' allegations as true, it is undisputed that each of Midland's proofs of claim, like the hypothetical demand letter in *Powell*, merely "misstates interest as principal but accurately states the total amount owed." *Powell*, 782 F.3d at 126 (emphasis added). "[S]uch a technical error is not material," and therefore not actionable, under any standard applicable to Plaintiffs' § 1692e claim.

12. The certification by a Midland representative that he or she had a "reasonable belief" that the information contained in each proof of claim "is true and correct" also is not an actionable representation under § 1692e. Plaintiffs also attempt to state a claim under § 1692e based on "the false assertion . . . that Defendants had a reasonable belief in the accuracy of the information [in each Proof of Claim]." (Doc. 1, ¶ 67). They assert that "Midland does not have a reasonable belief that the information in each Proof of Claim is true" (*id.*, ¶ 24) for two reasons: (1) "[a]s part of its written contract with Synchrony Bank [the

original creditor for the claims at issue], Midland is given information about such debts which shows that interest is regularly included in the claim amount"; (2) Midland was previously notified that its practice of filing Proofs of Claim that falsely assert that zero interest and zero fees are included in the claim amount is unlawful in the case of *In re Rachel R. Maddux*, Case No. 15-33574-KRH, in the U.S. Bankruptcy Court for the Eastern District of Virginia." (*Id.*, ¶¶ 25, 31).

CONCLUSION

26. Midland Funding, LLC and Midland Credit Management, Inc. reserve all rights under applicable law to assert and allege any additional defenses as such defense may become known during later proceedings or discovery related to the above-captioned bankruptcy cases and adversary proceedings. Nothing herein shall be construed to be a waiver of any of Midland Funding, LLC's and Midland Credit Management, Inc.'s defenses, rights, or claims related to Plaintiff's complaint and bankruptcy cases.

WHEREFORE, Defendants Midland Funding, LLC and Midland Credit Management, Inc. request that the Court enter an Order that dismisses with prejudice the complaints in the above-captioned adversary proceedings; that Plaintiffs receive no award for damages, costs, or fees, of any sort, in connection with the complaints, and that the Court award to Midland Funding, LLC and Midland Credit Management, Inc. any other relief that is proper.

Dated: August 7, 2017

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Respectfully submitted,

MIDLAND FUNDING, LLC, AND MIDLAND CREDIT MANAGEMENT, INC.

BY: /s/ James Donaldson

CERTIFICATE OF SERVICE

I hereby certify that on August 7, 2017, I caused to be served a true and accurate copy of the foregoing, via CM/ECF, U.S. Mail, and / or via e-mail on the following parties, as well as all other parties that receive CM/ECF notification:

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